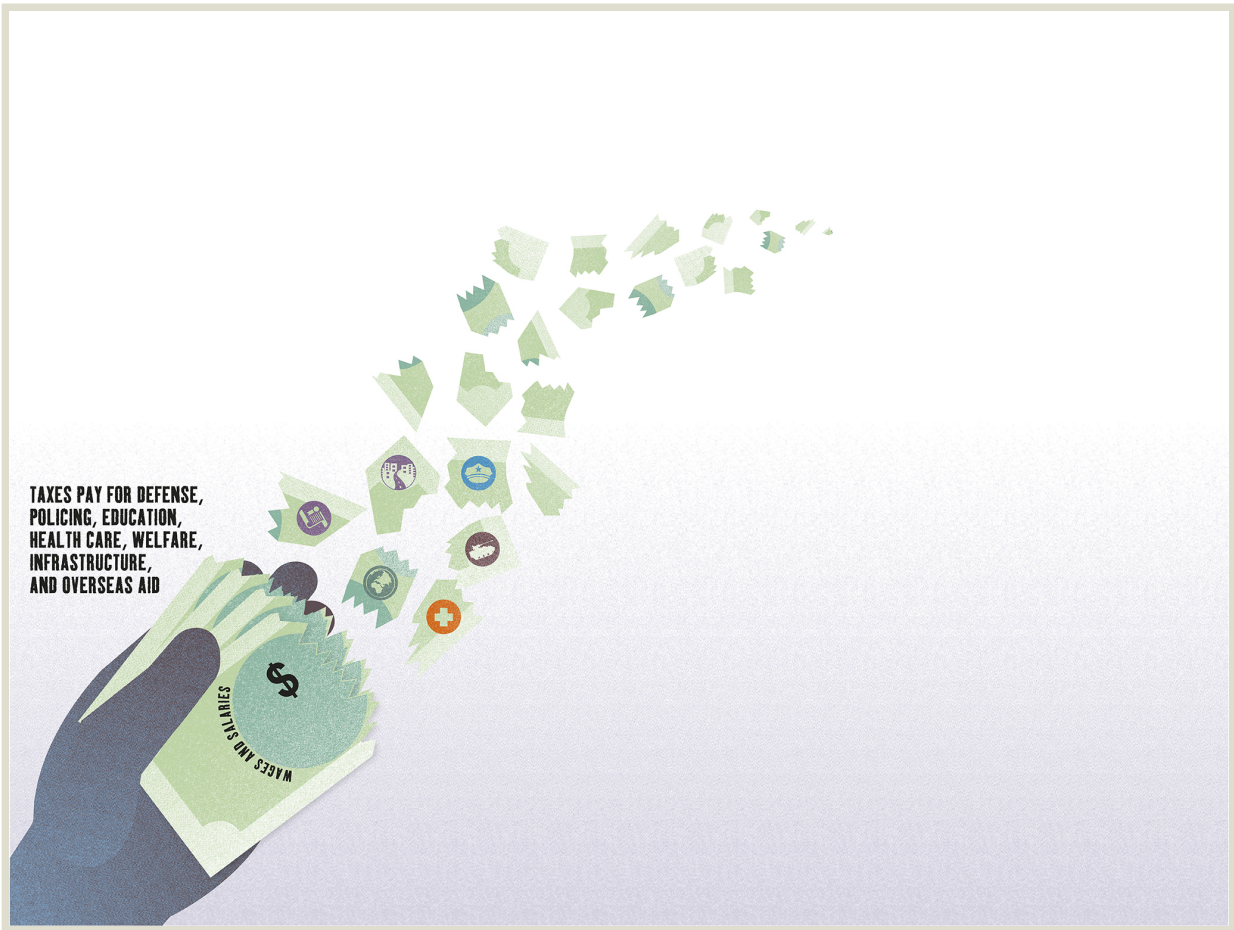




Paying your taxes

A proportion of the money that we earn is paid in taxes to the government. This is used to provide public services that benefit society as a whole.

Making it fair

Providing public goods and services is not the only reason to impose taxes. By taxing certain goods, governments influence the market. For example, a tax can be put on goods from an industry that pollutes the environment. Their goods then become more expensive, so the producer and buyers are pushed to find alternatives. Many governments also tax things like alcohol and tobacco, to encourage healthier lifestyles. Similarly, businesses producing things that are considered desirable, like renewable energy, may be given low rates of taxation.